

Once I understood the relative position of returns from multiple investment sources and asset classes, I was in a better position to decide where my focus should be for the next year.

Based on the above analysis, I formulated the investment strategy for the next year i.e. 2011. It was a simple but very important step. Many of us continue to invest without tuning our investments to get better returns. But this step leverages the most powerful lever of wealth creation.

I started ranking my returns on investments and then formulated the ranking for the coming year (i.e., the priority of each investment I should make to move forward). Figure 7.20 shows the ranking of all my asset classes based on the returns that I received in 2010.

Return On Investments from multiple assets were listed in a single table and were ranked in the Column ROI Rank, based on the % returns offered by them. As an example, since Stocks yielded maximum returns (24.65%), they were given an RoI Rank of 1, and so on.

However, based on all our decisions made from Step 1 through Step 6, a ranking for next years investment was arrived at, 5 being the highest rank indicating more definitiveness to invest.

ROI vs Investment				
Financial Tool	Ann. ROI		ROI Rank	Inv Rank
MFs	18.66%		2	4
FDs	7.83%		5	2
Gold	9.89%		3	5
PF	8.25%		4	1
Stocks	24.65%		1	3

Fig 7.20: *Ranking table for returns*

Once I had the investment ranking for the coming year, it was much easier to decide how my investments should be broken up for 2011. Figure 7.21 shows the guiding principles for investments for 2011 based on the ranking table for 2010 (Fig 7.20).